

The large-cap portfolio

Large-cap stocks are the anchor for any investment portfolio as these are time-tested companies with a long and consistent track record of generating returns for shareholders. Typically these are companies that have been around for several decades and are profitable businesses which have been through multiple economic cycles. The robustness of these companies means that their share prices are less vulnerable in case of a sharp market pullback (in comparison to small-cap stocks). This in turn helps reduce the volatility in the overall value of the portfolio.

Whilst the definition of large-cap stocks is not cast in stone, we view any company with a market capitalization of more than Rs 20,000 crore as a large-cap company. In July 2017, there were 123 such companies listed in the Indian stock market.

For investment in large-cap stocks, Nikhil chose an ETF.

ETFs, or Exchange Traded Funds, are typically passive funds based on a particular index. For example, a Nifty ETF fund has a portfolio which mimics the Nifty and has the same fifty stocks in the same proportion. There is no highly paid fund manager looking after an ETF; it is managed by traders who just have to buy and sell stocks to ensure similarity to the underlying index. Thus, the ETF's performance also mimics that of the Nifty. We learnt in [Chapter 3](#) that the outperformance of large-cap mutual funds (vis-à-vis the index) has more or less vanished over the last decade. ETFs have, therefore, become the best way to invest in large-cap stocks. These ETFs typically have an annual expense ratio of 0.2 per cent compared to the 2–2.5 per cent that the actively managed funds charge.

The multi-cap portion of the portfolio, Nikhil was clear, had to go into the Coffee Can Portfolio. Mr Talwar was looking for healthy returns over the next ten years. As explained in [Chapter 2](#), and in the preceding chapter, a basket of good-quality companies which has a consistent track record on revenue growth and return on capital employed almost always beats the index by a comfortable margin.